

in other divisions. At Shell, best practices in departments are identified and shared with all its units worldwide.

Rentokil benchmarks its branches against each other, identifies the best practices, and spreads them from one branch to another through training or transfer of managers to ensure consistent quality of service to its 1.5 million customers worldwide. IMR Global also implements the best practices of all the firms it has acquired worldwide. At Corning Inc, business-specific best practices are identified and shared with the company's multiple businesses and plants across the world.

Benchmarking can also take place between outstanding companies or world-class performers in the industry who are willing to share information about their best practices. Companies in the second and third positions in a particular industry can also provide valuable benchmarks to generate incremental gains in a firm's operations.

Since certain approaches and generic or core processes can be similar across different industries, the best companies in other industries can also meet the purpose of benchmarking. This may serve to break the current industry paradigms while searching for new, world-class levels of performance. For example, a medical centre may benchmark its operations against a leading hotel.

Types of benchmarking

A firm can attempt benchmarking at several levels. The main purpose

Benchmarking Forum

The American Society for Training and Development (ASTD) has established a Benchmarking Forum to identify and learn about the best practices being followed by member organisations. For example, the Benchmarking Forum has commended Boeing Corporation for adopting a unique task analysis approach involving engineers who were trained to use computer-aided drafting and computer-aided manufacturing (CAD-CAM) software.

A comprehensive survey on benchmarking

In 2008, a comprehensive survey on benchmarking was commissioned by the Global Benchmarking Network, a network of benchmarking centres representing 22 countries. The founder of benchmarking Dr Robert Camp is its honorary president. Over 450 organisations responded from 40 countries. The results showed that:

1. Mission and vision statements and customer surveys were used by 77 per cent of the organisations; SWOT was used by 72 per cent; informal benchmarking was implemented by 68 per cent; performance benchmarking by 49 per cent; and best practice benchmarking by 39 per cent.

2. The tools that are likely to be popular over the next three years are performance benchmarking, informal benchmarking, SWOT and best practice benchmarking. Over 60 per cent of organisations that are not currently using these tools indicated they would use them in the next three years.

3. When best practice benchmarking is done well, significant benefits are obtained with 20 per cent of projects resulting in benefits worth US\$ 250,000.

should be to find out the relevant best practices that can be abided by. Benchmarking shows where a firm excels or lags behind. This is helpful in assessing the strengths and weaknesses of an organisation and determining its capabilities. The following are the various types of benchmarking:

1. **Performance benchmarking** is to compare your company's performance with that of other organisations to determine how good or bad your organisation is. It also allows to compare products and services and assess your own.

2. **Best practice benchmarking** or **process benchmarking** is to compare the methods and practices to improve processes. It is used in strategic management, in which the initiating firm observes and investigates the business processes of other firms to identify the best practices. Activity analysis is required where the objective is to benchmark cost and efficiency, increasingly applied to back-office processes where outsourcing is considered.

3. **Strategic benchmarking** is to compare the long-term and significant decisions and actions undertaken by other organisations.

4. **Internal benchmarking** is a comparison between units or departments of the same organisation.

5. **Competitive benchmarking** is a direct comparison of your own performance against the best of the competition and restricts the search between competitors.

6. **Functional benchmarking** determines best practices in any industry. It is a comparison of functions against non-competing organisations within the same sector or technological arena. Complex functions such as human resources, finance, accounting and information and communication technology are unlikely comparable in terms of cost and efficiency and may need to be segregated into processes to make valid comparisons.

7. **Financial benchmarking** involves performing financial analysis and comparing the results in an effort to assess your overall competitiveness.

8. **Generic benchmarking** is a comparison of your own processes against the best practices anywhere in any type of organisation.

9. **Product benchmarking** is the process of designing new products or upgrades. This process can sometimes involve reverse engineering, which involves observing competitors' products to find their strengths and weaknesses.

Methodology

Benchmarking is a moderately expensive process. It involves travel, accommodation, research, database, etc. But this expenditure is counter-balanced by the knowledge gained.

The benchmarking process involves a questionnaire that helps to define the focus, criteria and context for practices. It provides information about the incidents that lead to adopting the